

ACME Cloud Inc. — FY2024 Annual Report (Excerpt)

Item 7. Segment Revenue (USD millions)

Segment	Q1	Q2	Q3	Q4	FY Total
Small Business	1200	1350	1410	1600	5560
Mid Market	800	820	910	975	3505
Enterprise	2100	2050	2200	2400	8750
Total	4100	4220	4520	4975	17815

Small Business revenue grew steadily through FY2024, driven by higher subscription attach rates and net revenue retention exceeding 110 percent in the second half. Enterprise revenue dipped in Q2 due to deal slippage before recovering strongly in the second half of the year.

Item 8. Deferred Revenue and Revenue Recognition

Deferred revenue represents customer payments received before the related performance obligations are satisfied. The Company recognizes revenue under ASC 606 as control of the promised services transfers to the customer, typically ratably over the subscription term. Deferred revenue at fiscal year end was 2,340 million, up from 1,980 million in the prior year.

Item 9. Operating Expenses vs Budget (USD millions)

Line Item	Budget	Actual	Variance
Sales & Marketing	3200	3560	360
R&D	2800	2710	-90
G&A	1100	1180	80